

Geothermal Resource Risk Mitigation (GREM) Facility

GREM is a geothermal exploration financing facility for Indonesia's public and private sectors that aims to mitigate early-stage development risks through a de-risking or risk sharing scheme. It was approved by the Green Climate Fund (GCF) in October 2018 and recorded as Indonesia's first-ever approved funding proposal. The total facility amount is USD 651.25 million with financing sources from the GCF, International Bank for Reconstruction and Development (IBRD) World Bank, Clean Technology Fund (CTF), and the Ministry of Finance through PT Sarana Multi Infrastruktur (PT SMI). The initial facility duration is 10 years and will be completed in 2030.

Complete description of the facility is available in its [approved proposal](#).

This facility consists of public and private funding windows with respective beneficiaries, scheme, and financiers. As of July 2021, the World Bank as Accredited Entity and PT SMI as the Executing Entity has been collaborating in the operationalization of both windows.

Public Window	Private Window
Under the Public Sector Window, the GREM Facility supports the public developers (SOE/ SOE's subsidiary) through a combination of loan sourced from multilateral loans (IBRD, GCF, and CTF) and de-risking facility sourced from Geothermal Sector Infrastructure Financing Fund (PISP fund) with maximum total aggregate limit of USD 30 million.	Under the Private Sector Window, the GREM Facility supports the private developers through a combination of a conventional loan and subscription to a financial instrument (FI) to be issued by the Developer (on a 50:50 basis). The conventional loan is sourced from IBRD loan, while the subscription to FI is sourced from GCF Reimbursable Grant and/or CTF Contingent Recovery Grant.

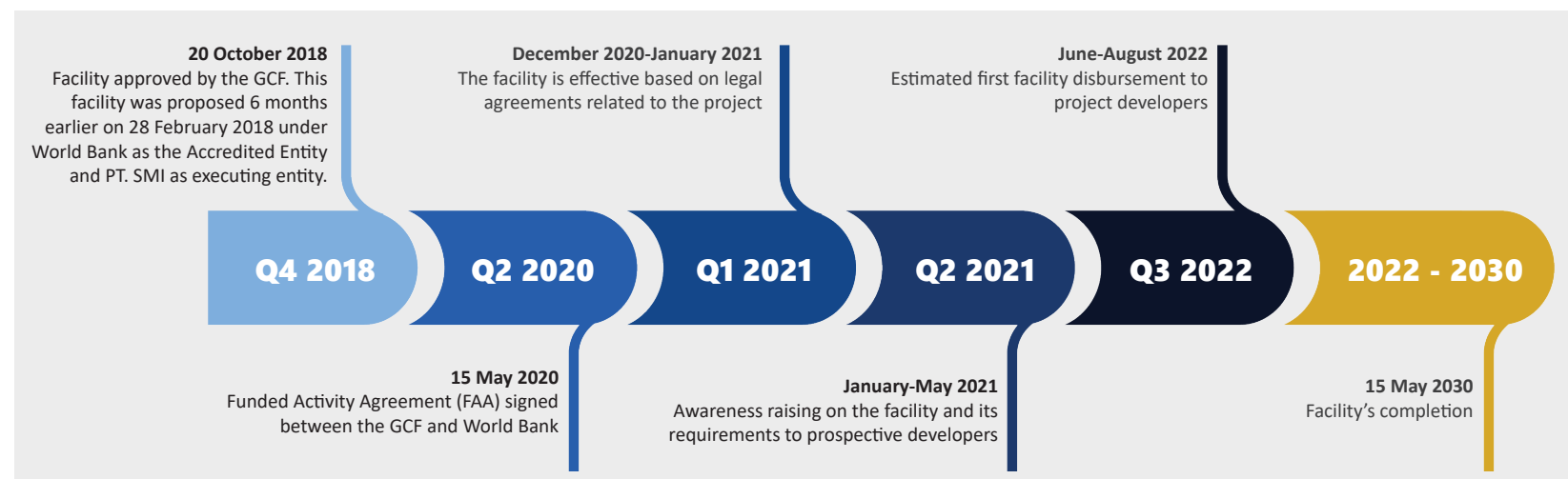
Environmental and Social Safeguards (ESS) & Gender Implementation

The safeguards implementation is relevant with the ESS Report. The safeguards will be reassessed once the screening of each sub-project is carried out. The facility has developed an [Environmental and Social Management Framework](#) (ESMF), which has been disclosed and made fully accessible on [PT SMI](#) and World Bank's websites in May 2019.

Follow-Up Plan

- Follow-up discussions with OJK regarding the alignment of the Financial Instruments GREM Private Window scheme with POJK 30/2019.
- Monitoring the progress of PMK 62/2017 revision, which may impact the GREM Public Window scheme.
- Awareness raising to prospective developers on the facility and its requirements. A [Developer Manual](#) (DM) that provides useful information regarding the GREM facility features, requirements, and application guidelines, has been available on PT SMI's website.

Facility's Timeline



FISCAL POLICY AGENCY
MINISTRY OF FINANCE
REPUBLIC OF INDONESIA

This factsheet is developed based on the Annual Report submitted by the Accredited Entity to the GCF. The information shared here has been reviewed by the project's Accredited Entity and Executing Entity.

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